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Ministry of कार्यालय
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विदेश सम्बन्धी अनुसंधान
Research Section
ऐतिहासिक प्रभाग
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विदेश सम्बन्धी अनुसंधान, नई दिल्ली
Ministry of External Affairs
New Delhi
Department of
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NOTES/CORRESPONDENCE

Annual Report from E/1 MUSCAT
for 1981.

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23
NO. MUS/101/1/82

MUSCAT

SECRET
Dated 28th April, 1982

Annual Political Report for the year 1981

INTERNAL PART I

The year under report was crucial on the Omani progress towards stability and modern statehood. It is the time to look back to the achievements and pitfalls of the First five Year Plan as well as the time for stock taking and launching the Second Five Year Plan. During the first Five Year Plan domestic products grew at the record rate of 20.3 %. Non-oil sectors grew at 19.7 percent and investment both public and Private Sectors totalled R.O. 1,670 million that is 23.3 percent more than the planned target. Balance of Payment during the last three years of the plan period was surplus at the peak of R.O. 413.7 million by the end of 1980, as compared to a deficit of R.O. 12.8 million in 1975. This was of course, due to the substantial rise in the price of crude oil. Recorded imports of goods rose to R.O. 568.3 million in 1980 as compared to R.O. 231.4 million in 1975 - an increase of 146 percent. On the whole imports of consumer goods increased by 100 percent, intermediary goods by 25.6 percent and capital goods by 51 percent.

2. The Second Five Year Plan aims at in particular to achieve maintenance of sound financial position, establishment of state general reserve fund to be capitalised from a percentage of oil revenues, restraining potential inflationary pressures, acceleration of economic growth without overstraining manpower situation, maintenance of oil production at 330 thousand B/B and to attain capital formation of GDP amounting to 3.8 percent during the next Five year plan. Total investment is planned at O.R. 3,323 million of which O.R. 1,168 million will be in Private Sector which again will mainly be channelised to agriculture, fisheries, manufacturing and minning with the building up of sufficient infrastructure to serve this sector. Among these infrastructure projects are marketting, industries, extension services, research station, ice plant and industrial estate with top priority given to water resources and projects for irrigation and agricultural purposes. All these taken together will serve to maintain an average growth rate of 13.1 percent in the GDP during the next Five Year Plan.

3. Political administration of the country run by Sultan Qaboos has a well established benevolent rule and has started sowing the seed for future democracy. Sultan Qaboos has taken care to show to his people that he is alive to their needs by taking upon himself the one month journey through the countryside from Muscat to Salalah in February. He heard the personal grievances and aspirations of people and collected first hand information about the economic conditions of villages. He was followed in his foot-journey by a large group of Ministers and top officials to whom he gave direct orders on the spot to rectify or investigate the problem that was presented to him. Confidence of the people in his Five year Plan heightened and opposition to his rule whether from religious or tribal or Leftists groups have been gradually reduced. At the sametime he has introduced an element of control on his Ministers and top officials in their pursuance of Private business activities. In Oman Ministers and government servants are allowed to take up private business for which almost all of them are said to have given all their time and energy. He has taken to task some of the Ministers and officials by stripping them of their power and desk but he never dismissed his high officials so as to turn them enemies. Rather officials of questionable standard are promoted as Special Advisor with good emoluments and are never heard of again.

4. The State Consultative Council of 45 members has been introduced

by a Royal Decree in October, 1981. 17 Members are drawn from officials and 28 members selected from general public of whom 11 will represent private business sectors and the rest will represent regional interests. Membership will last for two years but a member can be re-appointed. The function of the Consultative Council is purely advisory on social and economic matters of the Sultanate and to suggest means for strengthening the countries development. The Council will also make its opinion known about government policies in the development area. It will advise the government on how steps should be taken to increase the strength of national economic resources. It will examine the problems affecting the private sector both economic and social and suggest solutions. It will also evaluate problems referred to it for discussion by the Sultan. The Council will hold at least four sessions a year. With the establishment of this Council the existing Council of agriculture and Fisheries and Industry established in 1979 was abolished. It is expected that the Consultative Council will broaden the governmental function and thereby pave the way for future Parliament.

Military Situation

5. Oman in 1981 was under pressure from two international forces mainly the Western powers and the Gulf Cooperation Council. Thinking only of the Soviet design upon the Gulf, Oman is inclined to embrace the Western military might to counter the Soviet design but she realised her insignificant size in the global conflict of two super powers and their respective military blocks. She, therefore, feels the need to fall in line with fellow Arabs particularly, Gulf countries and to keep clear of the global military confrontations. As a result, Oman is wavering between two decisions whether to go all out to the Western camp or to maintain an independent position like Kuwait. She is, however, convinced that she should make certain limited military facilities (mainly US Rapid deployment force) in her soil in case of threat from outside. She has, therefore, allowed the US corps of army engineers to build up a base in Masira and Musandum area at a cost of US \$ 1.2 billion which may be raised to US \$ 1.8 billion in course of time. The old RAF station in Masira Island was conditioned and widened at the cost of US \$ 122 million and they have widened and improved the civil airstrip and other facilities in Al Khashap and Goat Island in Musandum area. Extension of military camp in Thumrait carried out for more troops. Communication systems are improved and satellite stations established at certain focal points like Musandum etc. These are not regarded as US military base as the US military personnel are not allowed to make use of them in peace time. But all the facilities including mobile accommodations are prepared so that in case of an imminent threat, US rapid deployment force will be able to land in Oman and make use of the military facilities with immediate effect.

6. In order to test the communication systems proposed to be set up in Oman by the USA some three hundred US military experts from the Army, Navy and Airforce carried out manoeuvres with Oman airforce for about 10 days during the month of February, 1981. After the exercise the US armed forces have returned to their country and Oman has rejected the proposition that it would grant base facilities. Again during the month of December a joint US-Omani military exercise was held in Oman in which some 24 US ships from the 6th and the 7th fleet are reported to have participated including aircraft carrier. Only some 960 US troops took part in beach landing while 360 Omani personnel looked on. This was against the original idea of some 2,000 US personnel including the battalion strength of the Omani armed forces to take exercise, under the code name "Operation Bright Star", which included other participants like Egypt, Sudan and Somalia. The reduction in size of the armed forces

was affected after considerable pressure from the G.C.C. But Oman went on just to show that she has a friend who is willing to come to their help in case of being attacked from outside.

7. On the other hand, Oman's armed forces have been re-organised and trained under the overall command of something like a Supreme Commander who is directly responsible to the Sultan. The Supreme Commander is no other than a British General Timothy Creasy under whom all the three service chiefs, all British, are placed. It is rumoured that General Timothy Creasy is far more powerful than any minister including the Dy. Prime Minister for Security and Defence, H.H. Sayyid Faizal Bin ali Al Said. Besides, there are some 660 British contract and deputationist officers. While all the important commands of the armed forces from the security point of view are placed in the hands of the British officers Omani officers are used mainly for ceremonial matters. The Omani army are well paid, well fed, well uniformed and well armed for their economy and their size and their morale is kept at high level at all time. They claim to be the most efficient armed forces in the gulf region. Thirty Five Chieftain tanks (MK 7/2) including spares were purchased at the cost of R.O. 25 million out of which 12 have arrived already, while four new ships (petrol boats) joined the Sultan of Oman Navy. Some more Jaguar fighters were also acquired in addition to the well maintained fleet of similar aircrafts already acquired in previous years.

Neighbouring Countries

8. Soon after the Oman armed forces were involved in the manoeuvres with the US experts of the three services of the Defence forces, the South Yemenis, made incursions into the Sultanate of Oman's territory, according to Oman. Strong protest note was immediately sent by Oman to the Arab league complaining the border incursions, while they asserted that Oman had at no time taken such an offensive action. It is believed that South Yemen was trying to express their resentment for the facilities offered by Oman to the US government by making inroads across the border, and thereby showing that she also had a benefactor in the Soviet Union if Oman takes military assistance to attack S. Yemen. Similar border incursions were reported again sometime in August when infiltrators were arrested with their Soviet made weapons, followed by strong protest note to the Gulf security Council and the Arab league. Counter complaints were launched this time by the South Yemenis saying that some of their armed personnel were kidnapped by Oman.

9. According to Oman intelligence reports Soviet Union has set up missile bases along with S. Yemen border with Oman, Saudi Arabia and N. Yemen and a vast number of Russian experts are stationed in the Socotra island 660 miles East of Aden. It is estimated that there are some 2,000 Soviet technicians in the Island in addition to 1,700 Soviet personnel serving at a Naval base in Aden at the command headquarters of the Soviet fleet in the Indian Ocean. Several airports are constructed and the existing ones are widened to accommodate more planes from Soviet Russia. Such being the situation, South Yemen (P.D.R.Y) is always a threat to the security of Oman. On top of that Tripartite Agreement was signed in Aden by the Heads of State of Ethiopia, Libya, and Aden with the active participation of Soviet experts who were understood to have drafted the agreement itself. According to Oman's viewpoint, the Tripartite agreement was reached to fulfil the Soviet design upon the Gulf region by the use of Ethiopian manpower, Libyan petrodollars and the strategic position of Aden, supported by the technology and expert guidance of Soviet Russia.

10. Some neighbouring countries like Kuwait and the U.A.E.

... fellow members of the Gulf Cooperation Council thought that the best means for settlement of differences between Oman and South Yemen and to stop the competition between two big powers to carve out the spheres of influence in the region was their re-conciliation among the gulf countries including South Yemen and Oman. On this score the Foreign Minister of the U.A.E. and Kuwait visited Aden and Muscat in April and discussed the matter with the rulers imploring them to end the dispute between the two countries. Similarly Kuwaiti Foreign Minister implored upon the Soviet Government also to stop aiding South Yemen so that Oman could be free from US influence. Both missions were known to have been rebuffed by the respective regimes and no further moves have been known to have been made again.

Foreign Policy of Oman :

11. In view of the foregoing situations the foreign policy of Oman in 1981 was very much dominated by Soviet design upon the gulf which came in a pincer movement, one through Afghanistan and the other through S. Yemen surrounding Oman from the North and South. Sultan Qaboos consistently maintained that Soviet influence in the Middle East caused greater problems for the Arabs than the Palestinian question whose solution would be difficult until the Soviet Union was stopped from interfering in the Affairs of the region. Nevertheless, he said that there would never be a foreign military base in Oman.

12. In a press conference during the visit of British Prime Minister Mrs. Margaret Thatcher in April the then Foreign Minister of Oman Mr. Qais Munim al Zawawi stated that Oman was aware of her responsibilities, and the need for free and safe navigation in this vital part of the world. He refused to be grouped as pro-west or pro-East, for Oman's foreign policy is based on friendship and mutual respect. He clarified that Oman does not have foul attitude towards communist regimes for Oman had good friends in the Communist camp like Yugoslavia, Romania and Bulgaria and Communist China is even allowed to have a resident Embassy in Muscat. Oman just followed a policy of cooperation and co-existence with its communist friends and she cannot, therefore, be classified as pro-West only because they make some defence arrangements with Western powers.

13. He denied that there was an obvious need for stationing a rapid deployment force in the region, but insisted that there must be some force that can be called upon for help in the case of imminent threat. He reiterated that Oman does not consider granting base to any country on its soil while he pointed his accusing finger at S. Yemen as the only state which had such an arrangement by offering bases to the Soviet Union. Oman may agree to hold responsibility for offering some limited facilities to all friendly states such as refuelling, maintenance and supplies but there is no question of granting military base to any foreign power East or West.

14. The Foreign Minister was hopeful that the Gulf Cooperation Council would play an effective role in diverting super power rivalries in the region. In the context of those considerations Oman reacted strongly to the Brezhnev peace proposal to the Gulf which he pronounced during his visit to India. Foreign Minister accused the Soviet Union of hypocrisy and double standards while projecting their peace policy from the democratic platform of India. U.S.S.R was definitely encouraging S. Yemen to interfere in Oman's affairs, and described the South Yemen's Gulf security proposal as an open invitation to the Soviet interference in the internal affairs of the gulf region, and as such Oman could not accept Brezhnev's logic and his fancies to the gulf.

15. In the situation, Oman tried her level best to maintain her non-

aligned posture by sending the Under Secretary of Foreign Affairs Mr. Yusuf Al Alawi Abdullah to attend the non-aligned Foreign Ministers Conference in New Delhi in February. The initial doubt in the minds of Oman that the non-aligned movement was the natural alliance of Soviet Union was soon dispelled in that on his return to Muscat from New Delhi Yusuf Alawi Abdullah declared his surprise that no effort was made in the conference to persuade the attending members to accept the Soviet point of view as was the case during the meeting of non-aligned countries held in Havana. On the contrary, he was satisfied that the non-aligned conference in New Delhi condemned the Soviet occupation of Afghanistan in a unanimous manner. He was convinced from his first hand experience that the non-aligned movement is a force in the politics of global affairs.

16. Gulf Cooperation Council

attended As one of the six Gulf countries that established the Gulf Cooperation Council, Oman is an active member of the Summit and Ministerial Conference held at various cities of the capitals of the gulf countries. The GCC is a regional body established with the aim to achieve better coordination of their political, social and economic policies, something like the EEC. The stress however, is different. To Oman the security aspect of the region is foremost among the issues. From the very beginning, Oman emphasised the need for Defence against Soviet designs which is number one threat to the region and it is in this respect that Oman is different from the rest of fellow members. While members like Kuwait emphasised the social and economic aspect of the GCC, Oman insisted to concentrate on their working papers on the security of the gulf which was discussed in September. With a good deal of grudge it was approved as Fahad's 8 point peace plan for the Middle East. The acceptance of Oman was regarded as a vindication of their policy and attitude. It was given further fillip by the abortive coup in Bahrain in December resulting in the bilateral security pact between Saudi Arabia and each one of the members of the GCC.

Relations with Arab countries.

17. Oman is one of the few Arab countries having diplomatic relations with Egypt. Sultan Qaboos ordered a three days official mourning at the death of President Anwar Sadat and sent high ranking delegation to attend Sadat's funeral. During the attack on Sadat one of the members of the Omani delegation attending the national day celebrations in Cairo Col. Kalfan Nasser al Ghamaari was also killed. Oman is an active member of the Arab league and condemned the Israeli aggressive and expansionist policy including its declaration of Jerusalem as its capital and the arbitrary measures it has taken against inhabitants of occupied arab territories. It condemned Israeli challenge to the international Community and UN resolutions jeopardising international peace and security. They rejected Israeli crazy policies transforming historical and religious character of the Holy city of Jerusalem and the wanton destruction of life and property in Beirut. They supported the Saudi 8 point peace plan and called upon the security council to adopt a firm and just basis for the solution of the Middle East problem which will be based only on Israel's withdrawal from all occupied arab territories and the establishment of an independent Palestinian state by the Palestinian people. It condemned vehemently Israeli bombing of the Iraqi nuclear reactor at Baghdad. Yet Russia is number one threat to the gulf region and peace in the Middle East.

Relations with the West

18. On the other hand, Oman has considerable soft corner for the West. Apart from the strategic and defence cooperation with America it has a very significant economic and technical cooperation signed in August, 1980. The Commission has completed a feasibility study and preliminary design work for the construction of a dam at Wadi al Khawd to boost up Oman's agricultural production. This low dam will slow down the flood waters flowing through the Wadi and help spread them widely in the land where agricultural production can be built up. The dam would cost roughly about R.O. 5 million to be shared by Oman and USA.

Britain has a traditional partner in the Defence organisation of Oman which is still given the high privilege of supplying both men and materials for the Omani Armed forces. The whole scheme for the higher education and the construction of Qaboos University has been done mainly with the help of the British Government.

The British Prime Minister Mrs. Margaret Thatcher visited Oman in April and she said in a press conference in Salalah that the only way to curb Soviet expansionism was to face it with strength, for strength alone can deter this attitude. In the economic field she promised Britains help in agriculture development, education, construction of hospitals etc. The Oman Defence forces are all under the command of British Generals.

Portugal and West Germany appeared prominent in the Oman's relations with Western countries. Portugal Prime Minister accompanied by 17 high ranking officials visited Oman and an Omani cultural exhibition was held in Lisbon. Oman and Portugal entered into a cultural agreement and the Minister of National Heritage Said Faisal bin Ali visited Lisbon. A West German Company entered into an agreement with Oman's Cement Company for production of 624,000 tons of cement per annum at Rusail as a turn key project. Oil exploration agreement have also been entered into with companies from France, Holland and Japan.

The Sultan of Oman was singled out in the European press as a pillar of progress and a foil to Soviet expansionist policies in the Gulf. The importance of the Straits of Hormuz for peaceful shipping was stressed in Swiss and German papers, and pointed out that to ignore Sultan Qaboos will be suicidal for the West, Sultan Qaboos spent all his holidays in Germany Britain and other places.

Relation with Afghanistan

19. Oman has a good Islamic relation with people of Afghanistan without recognising the "Puppet Government" imposed by Soviet Russia. While Russia is condemned vehemently, Afghanistan Mujahideens are constantly kept at the focus of Radio and TV news. Afghanistan Mujahideens' delegation headed by Prof. Abdul Rasool Zia and President of Islamic alliance for liberation of Afghanistan and who was formerly a professor of Islamic law at Kabul University visited Muscat at the invitation of the government of Oman. Prof. Abdul Rasool praised Sultan Qaboos's Government as the only government which has promised to help Afghanistan Mujahideens, and while he looked at Sultan Qaboos as an inspiration to other countries he expressed disappointment at the attitude of some other Islamic countries towards the cause of Afghanistans' Mujahideen.

Relation with Pakistan

20. Pakistan had tried to keep her relations with Oman at best. There have been exchange of visits between the two countries. Marshal administrator President Zia ul Haq visited Oman and had a talk with Sultan Qaboos. He visited the Pakistani school which was built with Sultan Qaboos's aid of R.O. 75000. Later President Zia's Health Advisor and Head of Pakistans' supreme court visited Oman. Pakistani Minister for Information visited Oman and Omani Minister for land Affairs also visited Pakistan. Comparing with India, Pakistan may be said to be relative while India is a friend. But sometimes a friend can be in a higher esteem than a relative for various reasons.

Relations with Sri Lanka and others

21. Oman entered into agreement with Sri Lanka to open diplomatic relations and air agreement. It opened new diplomatic relations with Nigeria, Australia, Mongolia etc., and Omani Ministers and officials visited many countries far and wide.

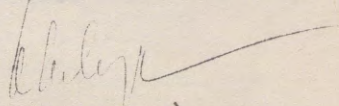
Relations with China

22. Oman has gradually stepped up her relations with China which is the only Communist country that has a resident Embassy in Muscat. 'Sohar' the Omani sailing ship re-enacted the voyage of Omani trader Abu Obeida Abdullah ebn el Kassim who was known to have made the first journey to China in the 8th century and reached Canton. Official ceremony was held to welcome the Dhow and the 25 man crew headed by British adventurer Tim Savoury. Omani Minister of National Heritage and culture Said Faisal Bin Ali flew to Canton to take part in the official ceremony. This was followed by a 10 point agreement for cooperation in the spheres of Health, Culture, and Information. The Chinese Minister for Foreign Cultural relations who signed the agreement expressed his satisfaction over the development of relations between the two countries, particularly, in the light of their diplomatic relations having been established only recently. Chinese held an Art and Craft exhibition in Muscat and they sent earlier a religious delegation to visit Oman.

Relation with India

23. The Indo Oman relation is mainly dominated by large scale import of manpower from India. There are now some 115,000 Indians in Oman and at least 75 percent of them are guestimated to be blue collared workers. Indian labourers are preferred to other nationalities mainly because Indian labourers are cheap, efficient and less troublesome. Indian Engineers, Doctors, Nurses, Business executives and traders are here too and they occupy relevant positions in their respective spheres of business.

Shri Romesh Bhandari, Secretary (ER) visited Oman twice in 1981 and the last one in September was at the invitation of the government of Oman. He also held important talks with his Omani counterpart on bilateral and international issues of common interest. An armed forces delegation from the Indian Air force also visited Muscat and had discussions with their counterparts on certain techniques of common aircrafts used by the two countries. Indian trade delegations and businessmen also visited Oman to explore the possibility of further improvement in trade relations. One joint venture was concluded between Voltas and Omani company for the exploitation of fresh waters.


(K.C. Lalvanga)
Ambassador

Distribution as per standard list



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7/6/82

سفارة الهند

مسقط

EMBASSY OF INDIA

P. O. Box 4727, Ruwi

MUSCAT

Dated: 30.5.82

No. MUS/414/2/79

Dear Ministry,

Kindly refer to your letter No. T.414/1/81 dated 16.1.81 regarding Annual Consular Report.

2. The Annual Consular Report for the year 1981 is sent herewith in the prescribed proforma.

Yours ever,

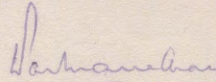
Mission.

Encl: as above.

Ministry of External Affairs,
(Consular Section)
New Delhi.

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- 2) WANA Division, MEA, New Delhi - 2 copies
- 3) Indian Overseas Cell, MEA, New Delhi - 1 copy


(S. Padmanabhan)
Second Secretary(Cons)

Part (A)

1. Name of Mission/post : Embassy of India, Muscat.
2. Is there a separate Consular Department in the Mission/Post? If so, total No. of officers and staff working in the Department.) Yes, there is a Consular Section in the Mission
) Total: 12.(13)
- (a) India based
- | | |
|---------------------|---|
| 1. Second Secretary | 1 |
| 2. Attache | 1 |
| 3. Assistants | 3 |
| 4. P.A. | 1 |
| 5. UDC | 1 |
- (b) Local
- | | |
|-----------|---|
| 1. Clerks | 6 |
|-----------|---|
3. No. of passports, visas and Emergency certificates etc. issued.
- | | Total | Average time taken in giving the service |
|-----------------------------|--------|--|
| i. Fresh passports | 3863 | 5 days |
| ii. Renewals) | | |
| iii. Endorsements) | 22909 | 3 " |
| iv. Attestations | 68,540 | 7 days |
| v. Registration of births | 246 | 1 day |
| vi. Registration of deaths | 118 | same day |
| vii. visa | 7973 | 2 days |
| viii. Emergency certificate | 9 | 1 day |
4. Total Consular Revenue Rs 60,42,443.80
5. No. of Indian citizens who had to be repatriated to India as destitutes and total amount spent. 18 Indians were repatriated. No. money was spent.
6. No. of Indian citizens who were given financial assistance and total amount spent NIL

Part (B)-Information on persons of Indian origin settled abroad:

Total No. of people of India descent.	Local nationals	Indian nationals	British nationals	Other nationals	State-nationals less.
There are about 1,10,000 Indians in Oman (Exact figures are not available)	6 Indian were granted Omani citizenship during 1981	1,10,000	2	-	-

10

Part(C) - Has the Mission/Post submitted following returns for the year 1981.

<u>Nature of returns</u>	<u>Date of submission</u>
1. Registration as citizens of India u/s 5(1)(b) of the Citizenship Act 1955 - Annual report.	Mus/414/76 dt. 23.5.82
2. Registration of births annual report	Mus/423/16/77 dt. 23.5.82
3. Dual nationality half year report as per prescribed <i>proforma</i>	Mus/414/76 dt. 23.5.82
4. Registration of deaths annual report	Is being sent.

The number of Indian expatriates in the Sultanate of Oman exceeded the one lakh mark during 1981 and is estimated at about 1,10,000 at the end of the year. A majority of them are employed as skilled/unskilled workers. The other professions in which Indian nationals have made their impact are the medical, accounting, engineering, business and teaching. The work load in the Consular Section of the mission is increasing day by day. The main problem faced by the Consular Section is the inadequacy of accommodation for the visiting public and the shortage of staff which makes it impossible to render prompt consular service. All our efforts to locate a bigger building have so far been in vain. Labour complaints continue to pour in alleging ill-treatment, under-payment and in some cases non-payment of wages for a considerable length of time, unhealthy accommodation, harassment by the management etc. Every effort is made by the Consular Section to settle all the labour problems by calling the representatives of the management to the Embassy and sometimes by visiting the labour camps.